

But this apparent relationship may not hold good in practice because the preferred-and-common capitalization method may have real advantages over a single common-stock issue.

On the other hand, our “rule of maximum valuation” merely states that the value of *P alone* cannot exceed value of *C'*. This should hold true in practice as well as in theory, except in so far as manipulative or heedlessly speculative activity brushes aside all rational considerations.

Our rule is stated in negative form and is therefore essentially negative in its application. It is most useful in detecting instances where preferred stocks or bonds are *not worth* their market price. To apply it positively it would be necessary, first, to arrive at a value for the preferred on a “communized” basis (*i.e.*, representing complete ownership of the business) and then to determine what deduction from this value should be made to reflect the part of the ownership fairly ascribable to the existing common stock. At times this approach will be found useful in establishing the fact that a given senior issue is worth more than its market price. But such a procedure brings us far outside the range of mathematical formulas and into the difficult and indefinite field of common-stock valuation, with which we have next to deal.